

Cambridge Assessment
International Education

Cambridge International AS & A Level

ECONOMICS

Paper 1 AS Level Multiple Choice

PREDICTED PAPER 1 (MODERATE)

9708/11

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1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are thirty questions on this paper. Answer all questions.
- For each question there are four possible answers A, B, C and D. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has 12 pages. Any blank pages are indicated.

- 1 A farmer has 10 hectares of land. She can grow either wheat, which earns a profit of \$500 per hectare, or corn, which earns a profit of \$300 per hectare. She decides to use all her land to grow wheat.
- What is the opportunity cost of her decision?
- A \$2000 B \$3000 C \$5000 D \$8000
- 2 Which item is an example of the factor of production called capital?
- A a bank account held by a firm
B a factory machine used to make goods
C shares in a public limited company
D government bonds held by a firm
- 3 A country's production possibility curve shifts outwards over a ten-year period.
- What does this most likely indicate?
- A a decrease in cyclical unemployment
B an increase in consumer demand
C economic growth has occurred
D the rate of inflation has increased
- 4 Which situation best illustrates the economic problem of scarcity?
- A A museum has enough space for all visitors on any given day.
B Air is freely available everywhere on the Earth's surface.
C Fresh water resources cannot meet the needs of a growing city.
D Sunshine is abundant in many tropical countries.
- 5 A worker in a factory decides to specialise in one small stage of a production process.
- What is the most likely result?
- A decreased productivity of the worker
B higher production costs per unit
C improved skill and speed at that task
D lower total output of the factory
- 6 Which change is most likely to shift the demand curve for coffee to the right?
- A an increase in the price of coffee beans
B an increase in the price of tea, a substitute good
C a publicity campaign warning about the risks of caffeine
D a fall in average consumer income, where coffee is a normal good
- 7 Which change would most likely shift the supply curve for smartphones to the right?
- A an increase in consumer income
B an increase in wages paid to assembly workers
C an improvement in production technology
D an increase in the retail price of smartphones

- 8 A product has a price elasticity of demand of -0.5 .
What does this indicate?
- A Demand is perfectly elastic.
 - B Demand is relatively elastic.
 - C Demand is relatively inelastic.
 - D Demand is unit elastic.
- 9 Two goods have a cross elasticity of demand of $+2.5$.
What does this value indicate about the relationship between the two goods?
- A They are close complements.
 - B They are close substitutes.
 - C They are unrelated goods.
 - D One is an inferior good and the other is a normal good.
- 10 On a standard demand and supply diagram with the market in equilibrium:
Which description best identifies consumer surplus?
- A the area above the equilibrium price and below the demand curve, up to the quantity traded
 - B the area below the equilibrium price and above the supply curve, up to the quantity traded
 - C the area above the demand curve at all prices
 - D the total revenue received by producers
- 11 In the market for rice, the equilibrium price has fallen while the equilibrium quantity traded has increased.
Which change is most likely to have caused this?
- A an increase in demand and a decrease in supply
 - B a decrease in demand and an increase in supply
 - C an increase in both demand and supply, with supply rising more
 - D a decrease in both demand and supply, with demand falling more
- 12 Which pair of features defines a pure public good?
- A rival and excludable
 - B rival and non-excludable
 - C non-rival and excludable
 - D non-rival and non-excludable
- 13 The government of country X grants a per-unit subsidy to producers of solar panels.
What is the most likely effect in the solar panel market?
- A The supply curve shifts left and the market price rises.
 - B The supply curve shifts right and the market price falls.
 - C The demand curve shifts right and the quantity traded falls.
 - D The demand curve shifts left and the quantity traded rises.

- 14** A government introduces a maximum price for bread which is set below the market equilibrium price.

What is the most likely outcome?

- A** a persistent surplus of bread
 - B** a persistent shortage of bread
 - C** no change in the bread market
 - D** an increase in the price of substitutes only
- 15** Which item would be included when calculating a country's Gross Domestic Product (GDP)?
- A** unpaid household chores done by family members
 - B** the value of illegal drug sales
 - C** the value of legally produced goods sold within the country
 - D** the resale value of a second-hand car
- 16** Nominal GDP rose by 5% in a year. Over the same period the inflation rate was 3%.
What was the approximate rate of real GDP growth?
- A** 2% **B** 5% **C** 8% **D** 15%
- 17** Structural unemployment is best described as unemployment caused by:
- A** temporary changes in demand during the business cycle
 - B** workers moving between different jobs
 - C** mismatches between workers' skills and the skills employers require
 - D** seasonal changes in demand for labour
- 18** A country is experiencing demand-pull inflation.
Which policy is most likely to reduce this type of inflation?
- A** a decrease in income tax rates
 - B** an increase in government spending
 - C** an increase in interest rates
 - D** a depreciation of the exchange rate
- 19** Aggregate demand is made up of consumption, investment, government spending and net exports.
An increase in which component will directly raise aggregate demand, all else equal?
- A** imports
 - B** direct taxes
 - C** government spending
 - D** the central bank interest rate
- 20** Which is an example of expansionary monetary policy?
- A** increasing the reserve requirement for commercial banks
 - B** decreasing the central bank's key interest rate
 - C** increasing the rate of income tax
 - D** reducing government spending on public services

- 21** A government reduces the rate of income tax.
This policy is best described as:
- A** contractionary fiscal policy
 - B** expansionary fiscal policy
 - C** contractionary monetary policy
 - D** expansionary monetary policy
- 22** A government's budget is balanced when:
- A** tax revenue exceeds government spending
 - B** government spending exceeds tax revenue
 - C** tax revenue equals government spending
 - D** the interest rate equals the inflation rate
- 23** Which is most clearly a supply-side policy aimed at raising productive capacity?
- A** an increase in the level of unemployment benefit
 - B** a reduction in the central bank's interest rate
 - C** government investment in vocational training programmes
 - D** an increase in the rate of value-added tax
- 24** The currency of country Y appreciates against the currencies of its trading partners.
What is the most likely immediate effect?
- A** exports become cheaper for foreign buyers
 - B** imports become more expensive for domestic consumers
 - C** exports become more expensive for foreign buyers
 - D** the current account will definitely move into surplus
- 25** A government imposes an ad valorem tariff on imported steel.
What is the most likely immediate effect?
- A** Domestic steel producers face increased competition.
 - B** The price of imported steel paid by domestic buyers rises.
 - C** Imports of steel increase sharply.
 - D** Domestic consumers benefit from lower steel prices.
- 26** A country has a comparative advantage in producing a good when:
- A** it can produce the good at a lower absolute cost than any other country
 - B** it can produce the good at a lower opportunity cost than any other country
 - C** it uses the most advanced technology to produce the good
 - D** it employs the largest number of workers to produce the good
- 27** Which is a benefit of free trade between countries?
- A** protection of domestic industries from foreign competition
 - B** an increase in government tariff revenue
 - C** a wider choice of goods and services for consumers
 - D** guaranteed employment in all domestic sectors

28 The current account of the balance of payments includes:

- A** trade in goods and services, primary income and secondary income
- B** trade in goods only
- C** only financial investment flows between countries
- D** only grants of foreign aid

29 In one month a country records the following figures, in \$ billions:

item	\$bn
exports of goods	100
imports of goods	120
net trade in services	0
net primary income	–5
net secondary income	+3

What is the current account balance?

- A** a deficit of \$22 bn
 - B** a deficit of \$20 bn
 - C** a surplus of \$18 bn
 - D** a surplus of \$22 bn
- 30** Which is commonly used as an argument in favour of protectionism?
- A** to allow an infant industry time to develop and become competitive
 - B** to increase the range of imports available to consumers
 - C** to reduce the price of imported goods for domestic buyers
 - D** to encourage more foreign firms to compete in the market

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